

CASE ID: 201905710002

EPISODE NAME: China creates the Unreliable Entities List

2019/05/31 - 2021/09/19

Sender: China (710)

Target: United States (2)

Issue: Trade Practices (13)

Final Outcome: Stalemate in the Threat Stage (4)

Summary:

On 2019/05/31, China threatened to sanction the United States in announcing that it would soon establish an “Unreliable Entity List”, which would include foreign companies or individuals seriously damaging the operations of Chinese firms and violating fair trade principles. The framework for the Unreliable Entity List was established on 2020/09/19, however China did not use its Unreliable Entity List to retaliate with sanctions against the US’s use of the BIS Entity List, which was the inspiration for China’s own Unreliable Entity List.

Narrative:

On 2019/05/31, China threatened to sanction the United States in announcing that it would soon establish an “Unreliable Entity List”, which would include foreign companies or individuals seriously damaging the operations of Chinese firms and violating fair trade principles.¹ On 2020/09/19, China established the Unreliable Entity List. Firms added to the List would face import and export restrictions, travel bans for their personnel, the inability to invest in China, and other sanctions.² Firms could be removed from the List upon correcting their offending behavior.³

China’s threat to establish an Unreliable Entity List was made in response to the earlier U.S. executive order signed on 2019/05/15 declaring a state of national emergency over foreign threats to American technology.⁴ Through the authority of the executive order, Huawei Technologies and its affiliates were added to the Bureau of Industry and Security’s Entity List.

¹ “商务部:中国将建立不可靠实体清单制度.” *Guancha.cn*, May 31st, 2019.

https://www.guancha.cn/politics/2019_05_31_503931.shtml.

² “中国公布不可靠实体清单制度 对“违反正常市场交易原则”的外国实体采取措施.” *Reuters*, September 18th, 2020.

<https://web.archive.org/web/20210729073225/https://cn.reuters.com/article/china-unreliable-foreign-entities-0919-id-CNKBS26A083>.

³ Yang, Yuanyou. “China Implements Its Long-Awaited Unreliable Entities List Mechanism.” *China Business Review*, 19 October 2020,

<https://www.chinabusinessreview.com/china-implements-its-long-awaited-unreliable-entities-list-mechanism/>.

⁴ “Executive Order on Securing the Information and Communications Technology and Services Supply Chain.” *Trump White House Archives*, May 15th, 2019.

<https://trumpwhitehouse.archives.gov/presidential-actions/executive-order-securing-information-communications-technology-services-supply-chain/>.

American firms could not sell or transfer technology to foreign firms added to the Entity List, meaning Huawei became subject to export controls on relevant US technology.⁵

Though China threatened to sanction the US with its Unreliable Entity List in retaliation for the US's use of the BIS Entity List on 2019/05/15, China did not impose any such sanctions. This is despite further sanctions on 2019/10/07 imposed by the US through its BIS Entity List.⁶

⁵ Higgins, Tucker. "Trump Declares National Emergency over Threats against US Technology amid Campaign against Huawei." *CNBC*, May 16th, 2019.
<https://www.cnbc.com/2019/05/15/trump-signs-executive-order-declaring-national-emergency-over-threats-against-us-technology.html>.

⁶ Hughes, Hubbard & Reed. "U.S. Government Adds Chinese Governmental and Commercial Organizations to the Entity List." October 8, 2019.
<https://files.hugheshubbard.com/pdfs/u-s-government-adds-chinese-governmental-and-commercial-organizations-to-the-entity-list.pdf>.